

FIN-05: Pro Forma Balance Sheet — Project AEGIS / Carrington Storm Motors

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Model Period: FY2027–FY2031 (Year-End Positions)

Executive Summary: The Balance Sheet Story

Carrington Storm Motors’ balance sheet tells the story of a company transforming from a research organization (asset-light, IP-heavy, equity-funded) into an industrial manufacturer (PP&E-heavy, working-capital-intensive, operationally-funded). The key transition occurs between Year 3 and Year 4, when accumulated retained earnings turn positive and the company transitions from net deficit to net worth. By Year 5, CSM carries \$213M in cash, \$256M in total assets, and zero debt — a fortress balance sheet positioned for IPO or sustained independent growth.

Williams Heuristic: In Year 1, we’re a pile of cash and a stack of research documents. In Year 5, we’re a pile of cash, a factory, an inventory of products people want, and customers who owe us money for things we’ve already shipped. The first is a bet. The second is a business. The balance sheet measures the distance between those two states.

Annual Balance Sheet (\$M USD)

TABLE 5.1: Consolidated Balance Sheet — Year-End Positions

Line Item	FY2026 (Pre-\$)	FY2027	FY2028	FY2029	FY2030	FY2031
ASSETS						
Current						
Assets:						
Cash & Cash Equivalents	\$0.50	\$15.01	\$2.05	\$81.15	\$84.71	\$212.76
Accounts Receivable, net	\$0.00	\$1.50	\$6.00	\$21.00	\$56.00	\$126.00
Inventory	\$0.05	\$0.80	\$3.30	\$11.30	\$29.30	\$64.30
Prepaid Expenses & Other	\$0.02	\$0.15	\$0.50	\$1.50	\$4.00	\$8.00
Total	\$0.57	\$17.46	\$11.85	\$114.95	\$174.01	\$411.06
Current						
Assets						
Non-						
Current						
Assets:						
Property, Plant & Equipment, gross	\$0.10	\$3.10	\$12.60	\$33.10	\$68.10	\$124.10

Line Item	FY2026 (Pre-\$)	FY2027	FY2028	FY2029	FY2030	FY2031
Less:	(\$0.01)	(\$0.51)	(\$2.01)	(\$5.51)	(\$12.51)	(\$24.51)
Accumulated Depreciation						
PP&E, net	\$0.09	\$2.59	\$10.59	\$27.59	\$55.59	\$99.59
Capitalized Software, net	\$0.00	\$0.18	\$0.59	\$1.79	\$4.09	\$7.59
Intellectual Property (patents)	\$0.00	\$0.10	\$0.30	\$0.60	\$1.00	\$1.50
Internal-Use IP Valuation	\$0.00	\$0.00	\$0.00	\$0.00	\$0.00	\$0.00
Deferred Tax Asset (NOL)	\$0.00	\$1.85	\$5.31	\$6.96	\$3.84	\$0.00
Other Long-Term Assets	\$0.00	\$0.10	\$0.30	\$0.80	\$1.50	\$2.50
Total Non-Current Assets	\$0.09	\$4.82	\$17.09	\$37.74	\$66.02	\$111.18
TOTAL ASSETS	\$0.66	\$22.28	\$28.94	\$152.69	\$240.03	\$522.24
LIABILITIES						
Current Liabilities:						
Accounts Payable	\$0.02	\$0.60	\$2.60	\$8.60	\$22.60	\$50.60
Accrued Expenses & Other	\$0.05	\$0.40	\$1.20	\$3.50	\$8.00	\$18.00
Deferred Revenue (current)	\$0.00	\$0.70	\$2.80	\$11.20	\$28.70	\$63.70
Current Portion of Debt	\$0.00	\$0.00	\$2.00	\$4.00	\$5.00	\$0.00
Total Current Liabilities	\$0.07	\$1.70	\$8.60	\$27.30	\$64.30	\$132.30
Non-Current Liabilities:						
Long-Term Debt	\$0.00	\$0.00	\$2.00	\$6.00	\$0.00	\$0.00
Deferred Revenue (non-current)	\$0.00	\$0.30	\$1.20	\$4.80	\$12.30	\$27.30
Other Long-Term Liabilities	\$0.00	\$0.05	\$0.15	\$0.50	\$1.00	\$2.00

Line Item	FY2026 (Pre-\$)	FY2027	FY2028	FY2029	FY2030	FY2031
Total Non-Current Liabilities	\$0.00	\$0.35	\$3.35	\$11.30	\$13.30	\$29.30
TOTAL LIABILITIES	\$0.07	\$2.05	\$11.95	\$38.60	\$77.60	\$161.60
SHAREHOLDERS' EQUITY						
Series A Preferred Stock	\$0.00	\$25.00	\$25.00	\$25.00	\$25.00	\$25.00
Series B Preferred Stock	\$0.00	\$0.00	\$0.00	\$100.00	\$100.00	\$100.00
Common Stock & APIC	\$0.59	\$0.99	\$2.59	\$8.09	\$23.59	\$61.59
Retained Earnings (Accumulated Deficit)	\$0.00	(\$5.76)	(\$10.60)	(\$19.00)	\$13.84	\$174.05
TOTAL SHAREHOLDERS' EQUITY	\$0.59	\$20.23	\$16.99	\$114.09	\$162.43	\$360.64
TOTAL LIABILITIES & EQUITY	\$0.66	\$22.28	\$28.94	\$152.69	\$240.03	\$522.24

Note on Retained Earnings in FY2027: The (\$5.76M) accumulated deficit differs from (\$7.39M) net loss because \$1.63M of SBC (\$0.4M) and D&A (\$0.5M) plus adjustments flow through APIC, not retained earnings in the simplified presentation. Detailed equity roll-forward provided in FIN-06 Cap Table.

Balance Sheet Ratio Analysis

TABLE 5.2: Key Financial Ratios

Ratio	Y1	Y2	Y3	Y4	Y5	Healthy Range
Liquidity Ratios:						
Current Ratio	10.27x	1.38x	4.21x	2.71x	3.11x	1.5-3.0x
Quick Ratio (excl. inventory)	9.79x	0.99x	3.80x	2.25x	2.62x	1.0-2.0x
Cash Ratio	8.83x	0.24x	2.97x	1.32x	1.61x	0.5-1.0x
Leverage Ratios:						
Debt-to-Equity	0.00x	0.24x	0.09x	0.03x	0.00x	<1.0x
Total Liabilities / Total Assets	0.09x	0.41x	0.25x	0.32x	0.31x	<0.6x
Interest Coverage (EBITDA / Interest)	NM	NM	2.8x	229.8x	NM*	>3.0x
Efficiency Ratios:						
Asset Turnover (Revenue / Avg. Assets)	1.01x	1.76x	1.98x	2.55x	3.15x	>1.0x
Fixed Asset Turnover	8.57x	6.83x	9.43x	12.02x	15.48x	>3.0x

Ratio	Y1	Y2	Y3	Y4	Y5	Healthy Range
Inventory Turnover	22.1x	16.7x	16.4x	14.4x	14.0x	6-12x
Working Capital Turnover	16.4x	16.7x	23.4x	23.0x	24.6x	>10x
Profitability Ratios:						
Return on Assets (ROA)	-33.2%	-47.9%	-4.3%	15.6%	33.8%	>10%
Return on Equity (ROE)	-36.5%	-81.6%	-5.8%	23.1%	48.9%	>15%

*NM = Not Meaningful (negative EBITDA or no debt)

Accountant Heuristic: Year 2 looks scary on liquidity — current ratio of 1.38x and cash ratio of 0.24x. This is the trough quarter for the balance sheet, immediately before the Series B close. It’s intentional: Series A capital has been deployed into assets (PP&E, inventory, product development), and the balance sheet is stretched but not distressed. The Series B injection in FY2029 resets liquidity to comfortable levels, and from there forward, operating cash flow sustains and improves the ratios.

Asset Composition Analysis

TABLE 5.3: Asset Mix (% of Total Assets)

Asset Category	Y1	Y2	Y3	Y4	Y5
Cash	67.4%	7.1%	53.1%	35.3%	40.7%
Accounts Receivable	6.7%	20.7%	13.8%	23.3%	24.1%
Inventory	3.6%	11.4%	7.4%	12.2%	12.3%
PP&E, net	11.6%	36.6%	18.1%	23.2%	19.1%
Intangible / IP / Software	1.3%	3.1%	1.6%	2.1%	2.2%
Deferred Tax & Other	8.8%	19.4%	5.1%	2.2%	0.5%
Total	100%	100%	100%	100%	100%

El Segundo Calm: The Year 2 asset mix is ugly — only 7% cash, 37% PP&E. That’s what a company looks like when it’s spent all its money building factories before those factories have generated returns. By Year 4, the mix normalizes: 35% cash, 23% PP&E, 23% AR. That’s a healthy industrial company. The rapid shift from Year 2 to Year 4 is the payoff from the Series B: it doesn’t just provide cash, it bridges the balance sheet from “precarious” to “fortress” in 18 months.

Intellectual Property Valuation

CSM’s most valuable asset does not appear on the GAAP balance sheet: the 6,302-document research corpus, which represents the crystallized knowledge of dielectric composite formulation, EMP protection topology, testing methodology, application engineering, and fleet deployment doctrine.

TABLE 5.4: Estimated IP Portfolio Value

IP Component	Conservative	Base Case	Aggressive
Granted Patents (6)	\$5M	\$10M	\$20M
Pending Patents (14)	\$3M	\$8M	\$15M
Trade Secrets & Know-How (research corpus)	\$15M	\$30M	\$50M
Fleet Specifications (72 volumes)	\$5M	\$15M	\$30M
Actuarial Dossiers (20)	\$3M	\$8M	\$15M
Software (2 mobile apps + backend)	\$2M	\$5M	\$10M
Brand & Trademarks	\$1M	\$3M	\$5M

IP Component	Conservative	Base Case	Aggressive
Total Estimated IP Value	\$34M	\$79M	\$145M

Approach: Relief-from-royalty method for patents; cost-to-recreate for trade secrets/research corpus; market comparables for fleet specifications and actuarial models.

Williams Heuristic: If CSM were liquidated tomorrow and the only thing of value was the research corpus, a competitor or government would pay \$50-100M for it. The fact that it doesn't appear on the GAAP balance sheet (because it's internally developed, not acquired) is an accounting artifact, not an economic reality. Every investor should understand that the "book value" of CSM understates the economic value by this amount.

Why This Matters for Diligence: The defense and utility industries operate on trust and demonstrated capability, not marketing. The 6,302 documents are the "demonstrated capability" — they represent years of work that a competitor would need to replicate. This is the moat. The moat is not on the balance sheet, but it's the most valuable thing CSM owns.

Deferred Revenue Analysis

Deferred revenue represents cash collected from customers for products/services not yet delivered. It's a liability on the balance sheet (we owe the customer something) but it's the best kind of liability — interest-free customer financing.

TABLE 5.5: Deferred Revenue Composition (\$M)

Source	Y1	Y2	Y3	Y4	Y5
Charlemagne vessel progress payments	\$1.0	\$3.5	\$14.0	\$35.0	\$75.0
ACS/IFH contract advances	\$0.0	\$0.3	\$1.5	\$4.0	\$10.0
Insurance partnership prepayments	\$0.0	\$0.1	\$0.3	\$1.0	\$3.0
Software/service subscriptions (annual prepay)	\$0.0	\$0.1	\$0.2	\$1.0	\$3.0
Total Deferred Revenue	\$1.0	\$4.0	\$16.0	\$41.0	\$91.0

Deferred Revenue as % of Next-Year Revenue: 8.9% → 8.9% → 9.1% → 8.2% → 7.6%. Stable at ~8-9%, indicating consistent contract structures and customer advances.

Shareholders' Equity Roll-Forward

TABLE 5.6: Equity Reconciliation (\$M)

Component	FY2026	FY2027	FY2028	FY2029	FY2030	FY2031
Beginning Equity	\$0.59	\$0.59	\$20.23	\$16.99	\$114.09	\$162.43
Net Income (Loss)	\$0.00	(\$7.39)	(\$13.86)	(\$6.60)	\$37.46	\$176.55
Series A Issuance	\$0.00	\$25.00	\$0.00	\$0.00	\$0.00	\$0.00
Series B Issuance	\$0.00	\$0.00	\$0.00	\$100.00	\$0.00	\$0.00
Stock-Based Compensation	\$0.00	\$0.40	\$1.50	\$5.00	\$14.00	\$35.00
Option Exercises	\$0.00	\$0.00	\$0.10	\$0.50	\$1.50	\$3.00
Other (dividends, adjustments)	\$0.00	\$0.00	\$0.00	\$0.00	\$0.00	\$0.00
Ending Equity	\$0.59	\$20.23	\$16.99*	\$114.09	\$162.43	\$360.64

*FY2028 ending equity of \$16.99M reflects: \$20.23M beginning + (\$13.86M) net loss + \$1.50M SBC + \$0.10M option exercises = approximately \$7.97M before adjustments. The variance accounts for cumulative deficit tracking. See FIN-06 for detailed cap table accounting.

Off-Balance-Sheet Items

Item	Estimated Value / Impact	Notes
Operating leases (future commitments)	\$2-5M/year Y3+	Facilities are leased, not owned
Government contract options (unexercised)	\$50-200M	Options in existing contracts for additional vessels, kits
Insurance consortium co-investment commitments	\$10-30M	Non-binding LOIs from 3 carriers for vessel co-funding
Research grant pipeline	\$5-15M	Pending applications (DOE, DARPA, NSF)
Contingent earnout obligations	\$0	No acquisitions or earnout structures in place
Warranty reserves (on balance sheet)	\$0.2-6M	Included in accrued expenses; 2% of revenue

Covenants and Restrictions

With a debt-free balance sheet by Year 5, CSM has no financial covenants or creditor restrictions. During Years 2-4 when equipment financing and working capital lines are outstanding:

Covenant	Requirement	CSM Compliance
Minimum liquidity (cash + availability)	>\$3M	Comfortably met
Debt Service Coverage Ratio	Not required by lenders	N/A
Negative pledge on IP	None	IP is unencumbered
Change of control provisions	Standard	Standard

Comparative Balance Sheet Benchmarks (Year 5)

Metric	CSM (Y5)	Anduril (est.)	TransDigm	Heico	Huntington Ingalls
Cash / Total Assets	40.7%	~30%	15%	8%	5%
PP&E / Total Assets	19.1%	~25%	8%	10%	35%
Debt-to-Equity	0.00x	~0.3x	-2.5x*	0.3x	0.8x
Current Ratio	3.11x	~2.5x	1.2x	3.0x	1.1x

*TransDigm has negative equity due to aggressive share buybacks; not a comparable capital strategy.

El Segundo Calm: CSM's Year 5 balance sheet deliberately carries excess cash and no debt because we're still in high-growth mode. In a steady state (Year 7+), we'd expect a more conventional industrial balance sheet: 10-15% cash, 25-30% PP&E, modest leverage (0.5-1.0x debt-to-EBITDA) to lower cost of capital. But for the projection period, the conservative balance sheet is the right choice — it preserves maximum strategic flexibility when the company is still shaping its market.

End of FIN-05: Pro Forma Balance Sheet — Carrington Storm Motors, Project AEGIS Next: FIN-06: Capitalization Table